

**BEFORE THE
FEDERAL MARITIME COMMISSION**

FMC DOCKET NO. P4-16

**PETITION OF THE COALITION FOR FAIR
PORT PRACTICES FOR RULEMAKING**

REPLY OF THE WEST COAST MTO AGREEMENT

The West Coast MTO Agreement and its members ("WCMTOA") hereby reply to the petition of the Coalition for Fair Port Practices ("Petitioner") for Rulemaking (the "Petition"), notice of which appeared in the *Federal Register* on December 28, 2016 (81 *Fed. Reg.* 95612).

For the reasons set forth below, WCMTOA urges the Federal Maritime Commission ("FMC" or "Commission") to deny the Petition.

A.

Interest of WCMTOA

The members of WCMTOA are all marine terminal operators ("MTOs"). As such, they would be directly and substantially affected by any rule adopted in a proceeding initiated by granting the Petition.

B.

Summary of WCMTQA's Position

WCMTQA urges the Commission to reject the Petition because the Commission lacks the legal authority to adopt the rule sought by the Petition. Moreover, even if the Commission had the authority to grant the relief sought, doing so would be contrary to FMC precedent, particularly precedent interpreting the reasonableness requirements of the Shipping Act. The Petition fails to meet the legal standard for granting the relief sought by such petitions, both legally and factually. Finally, the Petition advocates a remedy that is unwarranted and unworkable as a practical matter, and which would cause more problems and disputes than it would solve.

C.

The Impact of Port Congestion

Before addressing directly the Petition's lack of merit, it is necessary to provide some background information in order to counter the mischaracterization of port congestion and demurrage practices contained in the Petition.

The Petition alleges that marine terminal operators use port congestion as a justification for the imposition of demurrage charges which result in a windfall to the marine terminal operator. For example, the Petition alleges

that demurrage charges are a "revenue source" (page 24) and that these charges are "unconscionable" (Exhibit C-14) and constitute "opportunistic taxing" (Exhibit C-6). Such emotionally charged and factually baseless allegations distort and mischaracterize the true nature and impact of port congestion.

As the Commission itself has recognized, port congestion is a multifaceted problem that involves a number of actual or potential causes including infrastructure limitations, larger vessels and increased cargo volume, hours of service and other restrictions on truck power, rail service issues, the availability of chassis, and others. *U.S. Container Port Congestion & Related International Supply Chain Issues: Causes, Consequences & Challenges* ("Congestion Study"). Shippers and truckers are not the only ones adversely impacted by events that result in port congestion. Carriers incur costs associated with vessel delays resulting from port congestion. Terminal operators incur substantial additional costs in dealing with increased cargo volumes and congested terminals.

During the port congestion which occurred on the West Coast in late 2014 and early 2015, the members of WCMTOA experienced aggregate unbudgeted expenses of approximately \$3 million per week in additional labor, equipment, and other costs as a result of the congestion. For

example, many terminals added weekend shifts to work vessels and added additional clerks and temporary workers to deal with the congestion.

According to Pacific Maritime Association figures, in late 2014 and early 2015, marine terminal operators on the West Coast were paying for 15 to 20% more man-hours than in the same weeks in the prior year, but were handling only 1 to 3% more cargo.¹ Thus, in considering the Petition, the Commission should bear in mind that marine terminal operators are also negatively impacted by port congestion, and do not use such conditions to obtain an additional source of revenue or as an excuse to engage in "opportunistic taxing."

D.

**The FMC Lacks The Legal Authority
To Grant The Relief Sought By The Petition**

For the reasons set forth below, the FMC lacks the legal authority to adopt the rule sought by the Petition and should therefore deny the Petition. As an initial matter, the FMC has recognized that it lacks the authority to regulate the level of rates and charges. *Notice of Inquiry Concerning Use and Effect of Surcharges By Common Carriers and Conferences*, 26 S.R.R. 108, 119 (FMC 1992) ("We note, however, that the Commission does not

¹ "ILWU, PMA Trade Painful Blows As Talks Reach Eight-Month Mark," *Journal of Commerce*, January 13, 2015.

have statutory authority to regulate the level of rates charged..."). This lack of authority arises from changes to the relevant statute in 1984. Prior to 1984, section 18 of the Shipping Act, 1916, the law under which the former truck detention rules at the Port of New York were adopted, read as follows:

Whenever the board finds that any rate, fare, charge, classification, tariff, regulation, or practice, demanded, charged, collected or observed by such carrier is unjust or unreasonable, it may determine, prescribe, and order enforced a just and reasonable maximum rate, fare, charge, or a just and reasonable classification, tariff, regulation, or practice.

The authority to prescribe a just and reasonable rate, fare, charge, etc. was not carried over to Shipping Act of 1984. Thus, the FMC does not have the authority to prescribe a reasonable charge.

However, that is precisely what the Petition would require the FMC to do. The proposed rule would, for example, prohibit collection of demurrage "exceeding a compensatory rate" when the terminal is able to tender cargo for delivery and received equipment, but shippers, receivers or motor carriers are unable to remove cargo or return equipment. This would require the Commission to define what elements could and could not be included in a "compensatory rate," and how those elements were to be defined and

calculated.² This constitutes prescription of a reasonable charge. The alternative to a detailed prescription of the elements and calculation of demurrage and detention charges would be for the Commission not to define a "compensatory rate," which would leave that issue to be litigated in every claim in which the assessment of demurrage or detention is alleged to be unreasonable. The latter approach is as unworkable as the former approach is unlawful.

In addition to lacking authority to prescribe the level of rates and charges, the Commission lacks the authority to prescribe a just and reasonable practice with respect to receiving and handling property. Prior to 1984, section 17 of the Shipping Act, read as follows:

Every other person subject to this act shall establish, observe, and enforce just and reasonable regulations and practices relating to or connected with the receiving, handling, storing, or delivering of property. Whenever the board finds that any such regulation or practice is unjust or unreasonable it may determine, prescribe and order enforced a just and reasonable regulation or practice.

² A rule which effectively prohibits MTOs and carriers from assessing charges in excess of costs under specific circumstances would presumably require that demurrage and detention charges contain a "cost" element and a "penal" element. Not only is this a further form of rate regulation, but it could also have competitive implications because it would result in the disclosure of cost information to competitors.

(emphasis added). The foregoing is the predecessor of former section 10(d)(1) of the Shipping Act of 1984, 46 U.S.C. App. §1709(d)(1)³, which read:

No common carrier, ocean freight forwarder, or marine terminal operator may fail to establish, observe, and enforce just and reasonable regulations and practices relating to or connected with receiving, handling, storing, or delivering property.

When the Shipping Act of 1984 replaced the Shipping Act, 1916, it eliminated the Commission's authority to determine, prescribe and order enforcement of a just and reasonable regulation or practice.

But once again, the Petition would require the Commission to exercise authority which Congress removed from the statute: to prescribe a just and reasonable regulation or practice. The rule sought by the Petition would require marine terminal operators to adopt rules under which they could not assess demurrage if the failure to pick up the cargo within free time was due to any cause outside the control of the shipper or motor carrier, even if such cause was not the fault of, or was beyond the control of, the terminal operator. See, paragraphs (b), (d) of the proposed rule. It would also require marine terminal operators to limit their charges to an amount equal

³ 46 U.S.C. App. §1709(d)(1) was subsequently recodified as present day 46 U.S.C. §41102(c), which reads: "A common carrier, marine terminal operator, or ocean transportation intermediary may not fail to establish, observe, and enforce just and reasonable regulations and practices relating to or connected with receiving, handling, storing, or delivering property."

to cost if the terminal operator were unable to make cargo available as the result of a force majeure-type event which arises after the expiration of free time. See, paragraph (c) of proposed rule. Thus, the proposed rule prescribes a specific regulation or practice, and is beyond the authority of the Commission.

E.

**The Relief Sought By The Petition
Is Contrary To Existing FMC Precedent**

The FMC and its predecessors have long held that reasonableness is question of fact. *Investigation of Free Time Practices – Port of San Diego*, 9 F.M.C. 525, 547 (FMC 1966)(“It is by application to the particular situation or subject matter that words such as ‘reasonable’ take on concrete and specific meaning.”). See also, *New Orleans Stevedoring Co. v. Board of Commissioners, Port of New Orleans*, 29 S.R.R. 1066, 1072 (FMC 2002); *All Marine Moorings, Inc. v. ITO Corporation of Baltimore and The Maryland Port Administration*, 27 S.R.R. 539, 545 (FMC 1996)(“Our decisions have emphasized various commercial, physical and competitive factors affecting our view of what is reasonable in these cases.”).

Thus, at present, a determination of the reasonableness of demurrage or detention charges assessed in a particular situation would require an evaluation of the facts surrounding that situation, including the cause or

causes for the delay in picking up the cargo or returning the equipment, the extent to which the carrier, MTO, and/or cargo interest may have been at fault, and whether the charge was assessed and collected in its entirety or there was a partial waiver of the charge.

The rule sought by the Petition would ignore this long-standing and well-established interpretation of the Shipping Act and replace it with a blanket rule that categorically holds conduct to be unreasonable without regard to the facts surrounding the particular conduct at issue. This is not only inconsistent with the existing law on the subject of reasonableness, but also with the Commission's own findings with respect to port congestion.

The importance of considering the specific facts surrounding instances of port congestion has been emphasized repeatedly by the Commission itself. In its Congestion Study, the Commission's Bureau of Trade Analysis noted, when discussing possible remedies for port congestion, that:

Therefore, what may be an appropriate solution in one terminal, at one port, or in one region of the country, may not be the most appropriate approach in others.

Congestion Study, p. 44. The Congestion Study also noted:

The idea here is not to recommend or suggest 'best practices.' It would be invidious for the Commission to declare 'best practices.' Moreover, a practice considered 'best' in one set of circumstances may not be appropriate in other situations.

Congestion Study, p. 10, note 21. The Petition asks the Commission to do precisely that which the Commission has already said it would be “invidious” to do, i.e., requiring a uniform “best practice” at all ports nationwide, without regard to the facts. As discussed further below, there is no factual basis for the Commission to take now that action which it found to be inappropriate in 2015.

F.

The Petition Represents A Radical Expansion Of Existing Law

The alleged “clarification” sought by the Petition is in fact a radical expansion of existing law.⁴ The Petition admits that the relief it is seeking goes well beyond the rules the Commission once established with respect to the Port of New York (Petition at p. 30), which were established when the Commission had much broader statutory authority than it does at present. For example, the proposed rule would preclude marine terminals and carriers from assessing demurrage for ANY reason beyond the control of the shipper, including Customs inspections. See, Petition at pp. 31-32; 39. However, the Commission has held that it is reasonable to apply charges to cargo that exceeds free time as a result of a Customs inspection. *Free Time*

⁴ This means the proposed rule is substantive rather than “interpretative” as suggested by the Petition, and would be subject to “notice and comment” rulemaking procedures under the Administrative Procedure Act. See, e.g., *American Mining Congress v. Mine Safety & Health Admin.*, 995 F.2d 1106 (D.C. Cir. 1993).

and Demurrage Charges at New York, 3 U.S.M.C. 89, 96 (USMC 1948). It is certainly far more reasonable to place the risk of delay arising from Customs inspections on the importer, who is responsible for Customs clearance and therefore has some control over the process and timing, than on the marine terminal operator, who does not control the process.

Another example of how the proposed rule would be contrary to and expand on existing law is that it would prohibit assessing charges when the disability which prevents customers from picking up cargo or delivery equipment starts after free time had ended. Petition at p. 37. However, the Commission has held that the assessment of charges is lawful under such circumstances:

Once free time has expired, the vessel's transportation obligation has ended. Absent a special contract, the carrier has done all that its transportation obligation requires it to do. Thus, in our view, it is only just and reasonable that the consignee, who has failed to avail himself of the opportunity to pick up his cargo during free time, should bear the risk of any additional charges resulting from a strike occurring after free time has expired.

The Boston Shipping Association, Inc., et al. v. Port of Boston Marine Terminal Association, et al., 10 F.M.C. 409, 417-18 (FMC 1967). Thus, rather than being a "clarification" of a statutory provision, the rule sought by

the Petition represents a significant and substantive expansion of existing law.⁵

G.

The Petition Should Be Denied Because It Does Not Meet The Applicable Legal Standard For Relief

In 2004, the FMC denied a petition seeking an investigation into the reasonableness of certain terminal conference rules on truck detention. *Petition of the Association of Bi-State Motor Carriers, Inc. to Investigate Truck Detention Practices of the New York Terminal Conference at the New York/New Jersey Port District*, 30 S.R.R. 104 (2004). The petition was denied on several grounds, including that: (i) it relied only on past assertions of congestion and did not provide any probative evidence with respect to current practices; (ii) it failed to demonstrate how the rules it was seeking would address congestion; (iii) it failed to demonstrate why the FMC was better suited than local authorities to address the issue; and (iv) it failed to explain how the port in question continued to suffer from unique circumstances which would distinguish it from other large ports.

The Petition suffers from these same four defects.

⁵ That the Petition represents much more than a "clarification" or "interpretation" is revealed in the verified statements, which ask the FMC to limit or restrict the practices of marine terminal operators. See, e.g., Exhibit C-5 ("I urge the Federal Maritime Commission to limit the ability of ocean carriers to charge demurrage...").

1. The Petition Relates Only To Past Conditions

Just as the petition in *Bi-State* focused solely on past congestion, so too does the Petition. All of the verified statements submitted in support of the Petition (many of which are dated May, 2016, seven months old when the Petition was filed) focus on events that are now almost two years old (i.e., which occurred in late 2014 and early 2015). The verified statements do not address current conditions and provide no evidence that Commission action is needed to address such conditions. Indeed, two verified statements indicate that congestion and associated detention/demurrage issues are no longer a problem or have subsided, thereby rendering the relief sought by the Petition moot. See, Exhibits C-3 and C-5.

2. The Relief Sought By The Petition
Would Not Address Port Congestion

The Petition also fails to state how the rule it seeks to have adopted would address port congestion. Although the Petition claims the proposed rule would reduce port congestion by incentivizing terminals and carriers to reduce future delays and congestion, this claim cannot withstand even the most cursory scrutiny. For example, paragraph (d) of the rule would impose all financial risk of any delay on marine terminal operators, even when that delay is not the responsibility of or with in the control of the marine terminal operator. Since the disabilities covered by paragraph (d) are outside the

control of the marine terminal operator, there is nothing they could do to prevent them and hence no possible incentive for them to do so. The proposed rule is a blatant attempt by shippers and motor carriers to shift all financial risk of any delay whatsoever to the marine terminal operators. It would not improve port congestion.

Ironically, the proposed rule actually carries with it the potential to increase port congestion. In its *Boston Shipping Association* decision, the FMC properly recognized that it is reasonable to place the risk of any disability that arises after free time has ended upon the shipper, since the obligation of the carrier and marine terminal operator to make the cargo available to the consignee has been fulfilled at that point in time. That risk forms part of the current incentive for the shipper to ensure that the cargo is picked up during free time. However, under the proposed rule, that incentive is diminished because it would not be permissible to assess demurrage charges during a disability that commences after free time has ended. This creates no incentive for the marine terminal operator or carriers, which have already fulfilled their obligations by making the cargo available during free time. All this portion of the rule does is shift financial

burden from shippers and receivers to terminal operators.⁶

In addition to failing to address the alleged problem of port congestion (which the Petition fails to establish exists at this point in time), the rule sought by the Petition is likely to create greater uncertainty with respect to detention and demurrage than exists at present, and to increase the number of disputes over this issue. For example, the Petition asks the Commission to adopt a blanket policy statement that would make it unreasonable to impose charges in the event of a "disability is caused by any event or circumstance that is beyond the control of the shipper, receiver or motor carrier, including but not limited to: (1) port congestion; (2) port disruption...". See paragraph (b) of Exhibit A to the Petition. The Commission has taken the position in other contexts that the phrase "including, but not limited to" is impermissibly vague.

Moreover, the rule would be impermissibly vague with respect to the type of events that trigger the relief required under the rule. In this regard, in the context of carrier surcharges triggered by "labor unrest" or "port congestion," the Commission has stated that tariff rules on this subject:

⁶ If the efficient flow of cargo through marine terminals is in the public interest, a rule that would further that interest would be a prohibition on the granting of extra free time, which results in shippers using the container and the terminal as a storage facility rather than a temporary cargo handling point. See, *Investigation of Free Time Practices – Port of San Diego*, 9 F.M.C. 525 (FMC 1966)(excessive free time found to be unreasonable practice in violation of Shipping Act).

...must be clear and definite as to the implementation and termination of the surcharge based upon specific criteria related to 'labor unrest.'"

See, FMC News Release dated November 17, 2014. If terms such as "labor unrest" and "port congestion" are too vague to support application of a surcharge when used in a tariff rule, how can the same terms be sufficiently definite to prohibit application of a charge when used in a Commission regulation? In other words, a Commission regulation prohibiting application of a charge published in a marine terminal operator schedule or carrier tariff should have to meet the Commission's own "clear and definite" standard.

The rule proposed by the Petition does not.

The proposed rule suffers from a number of similar infirmities, which include:

- Who determines what constitutes a disability, and when that disability begins and ends? Receivers? Truckers? MTOs? The Commission? When will that decision be made? How will interested persons be notified of that decision? At a minimum, a rule of this type would generate extensive litigation as parties seek to interpret and implement it in a wide variety of different factual circumstances.
- How will the marine terminal operator know that the failure of a shipper or receiver to pick up cargo was due to circumstances which require relief? Who has the burden of proof that the event was beyond the control of the shipper or receiver? What level/form of proof would be required? When and to whom would that proof be submitted?
- What "costs" are covered by paragraph (d) of the proposed rule? The term is not defined. What is included in the cost of storage? Overhead? Profit? This is unclear. If there is a dispute over whether or not a charge

includes more than "costs," how would that dispute be resolved? By litigation at the FMC?

- How would the rule apply if a terminal is closed for only part of a day and/or if only part of the terminal is closed? While the Petition and the rule it advocates appear to assume that any disability would result in the closure of an entire terminal or port area, the fact is that when port congestion occurs, it may only impact a portion of a terminal, or may impact a terminal for only part of a day. Indeed, during the congestion on the West Coast in late 2015 and early 2016, the extent to which terminals were closed for all or part of a day varied widely, and some terminals had no closures at all.
- What if a receiver waits until the last day of free time (or the very end of the last day of free time) to pick up cargo or return equipment, and some circumstances prevent the receiver from doing so? Why should the risk of that problem be placed on the marine terminal operator or carrier when the receiver had the first few days of free time to act?

These very real situations are not addressed by the rule.

3. Commission Intervention Is Not Needed Or Desirable

The Petition fails to demonstrate why intervention by the Commission in the form of a nationally applicable policy declaration is preferable to local and/or industry solutions. This failure is particularly significant given the Commission's previous determinations that many remedies are presently available, and that industry-based solutions – by the industry stakeholders that are directly involved in the issues -- are preferable to regulatory intervention.

In the Congestion Study, the FMC stated:

With appropriate leadership and support, constant encouragement, and a willingness to cooperate, industry stakeholders' thoughtful insights and expressions of concern seemed to demonstrate that the intermodal industry itself is well-capable of accurately diagnosing the problems and crafting enduring solutions.

Congestion Study, P. 7. Not only is the foregoing statement consistent with the Shipping Act's stated purpose of minimizing government intervention and regulatory costs (see 46 U.S.C. §40101(1)), it is also borne out by practical experience and other findings of the Commission.

The Petition acknowledges, as it must, that many marine terminal operator schedules and carrier tariffs provide for the extension of free time and/or the waiver/refund of demurrage/detention charges in force majeure-type circumstances. See, Petition at pp. 7-8. It is not necessary to initiate a rulemaking proceeding to mandate action that is already being undertaken by a substantial portion of the industry.

The Commission's April 3, 2015 "Report: Rules, Rates, and Practices Relating to Detention, Demurrage, and Free Time for Containerized Imports and Exports Moving Through Selected United States Ports" ("April 3, 2015 Report") confirmed that many port authority schedules or ordinances authorize extensions of free time, and that such extensions may also be granted by the terminal operator or carrier in appropriate circumstances. April 3, 2015 Report, p. 17. Many shippers reported to the Commission that

extensions of free time or waived or reduced fees have been granted in cases of port congestion. *Id.*, p. 24.

The extent to which industry-based solutions have been implemented and are working is illustrated by the recent snowstorm which closed the Port of New York/New Jersey on Thursday, February 9, 2017. The storm was forecast, as most severe weather now is, some days in advance. Thus, truckers and shippers had ample notice to allow them to pick up cargo or return equipment before the storm hit. The morning before the storm, the port announced that it would be closed. On that same day, the trade press was reporting that free time would be extended for containers not already in demurrage, and that at least one terminal would open on the following Monday (a holiday) to assist cargo interests and truckers.⁷

All of this is consistent with the Port of New York and New Jersey's Winter Weather Plan, which calls for free time to be extended for all containers not already in demurrage as well as advance notice of closures and close consultations with all stakeholders in advance of any weather-related events. The Port's Winter Weather Plan also notes that a major ocean carrier organization has recommended that its members grant the same free time extension as is granted by the Port. Thus, in the case of the

⁷ "Storm Forces NY-NJ Closure For Thursday," *Journal of Commerce*, February 8, 2017.

Port of New York and New Jersey, the industry already has established procedures in place for dealing with the unique events that seriously disrupt port operations. There is no need for the Commission to intervene and mandate a broad-brush policy to deal with these individual situations at various ports. The port communities should be permitted to address the unique circumstances of their various ports.

In addition to the relief contemplated by marine terminal operator schedules and carrier tariffs, the verified statements submitted with the Petition acknowledge the many other measures available to deal with demurrage and detention charges arising out of port congestion and other force majeure-type circumstances. In the first instance, these issues are often the subject of commercial negotiation with terminal operators or carriers (see, Exhibits C-2, C-3, C-4, C-8, and C-14). The Commission's Office of Consumer Affairs and Dispute Resolution Services (CADRS) is available to assist in resolving disputes, as acknowledged by Exhibits C-3 and C-4. The FMC has also been active in promoting hands-on congestion mitigation, through four industry forums in various port areas in 2014, two detailed reports on the issues, and the current supply chain working groups. The Ports of Los Angeles and Long Beach have addressed a number of congestion-related issues in depth through their Supply Chain Optimization

processes. Parties to the Uniform Intermodal Interchange and Facilities Access Agreement ("UIIA") can arbitrate under the procedures set forth in that agreement (see, Exhibits C-1 and C-9). There is also the option of filing a complaint with the Commission, alleging that specific conduct violates the Shipping Act.

In light of the steps the industry has taken to deal with this issue and the remedies already available, WCMTOA respectfully suggests that it is unnecessary for the Commission to take the far-reaching action urged by the Petition. In the unlikely event the Commission determines that some action is required with respect to this issue, it would be preferable to address the issue through cooperation among stakeholders than through a general rulemaking.

4. *The Petition Does Not Justify Nationwide Action*

Finally, the Petition does not support the adoption of a nationwide policy applicable to every U.S. port, every U.S. marine terminal operator, every U.S. importer and exporter, and every ocean common carrier operating in the foreign commerce of the United States. Just as the *Bi-State* petition was denied because it failed to justify unique treatment of a single port, the Petition should be denied because it fails to justify uniform treatment of all U.S. ports.

The Petition and the verified statements document very well the limited and unique circumstances which led to the port congestion that is the basis of the relief sought. The Petition and the verified statements identify the primary causes of the congestion as the labor situation on the West Coast in late 2014 and early 2015, and the severe weather in the Northeast in that same time period. There is no mention of congestion at South Atlantic and Gulf ports, or of congestion resulting from any other causes. In addition, as noted above, at least two of the verified statements indicate that port congestion is either no longer an issue or has subsided substantially since early 2015. See Exhibits C-3 and C-5.

WCMTOA is not aware of chronic or on-going congestion problems having occurred at any U.S. ports, particularly ports in Los Angeles and Long Beach, during 2016.

Unique episodic conditions do not justify a blanket, broad-brush policy on demurrage charges. The discussion above demonstrates that congestion is almost always the result of unique circumstances (labor dispute, unusually bad weather) and is almost always limited in duration and geographic scope. The 2014 labor issues were applicable to the West Coast, and did not directly affect the U.S. East Coast and Gulf. Similarly, the serious winter weather issues that have periodically impacted the ports of NY/NJ and other

East Coast ports are not an issue in Southern California. Congestion is not an "acute" "national" or "pervasive" problem as suggested on page 5 of the Petition. In light of this, a rulemaking applicable nationwide is an unnecessary overreaction to the extraordinary factual circumstances identified in the Petition and verified statements. *Petition of Olympus Growth Fund III, L.P. and Olympus Executive Fund, L.P. for Declaratory Order, Rulemaking or Other Relief*, 31 S.R.R. 718, 724 (FMC 2009), citing *Marine Terminal Tariff Provisions Regarding Liability of Vessel Agents*, 27 S.R.R. 611, 614 (FMC 1996).

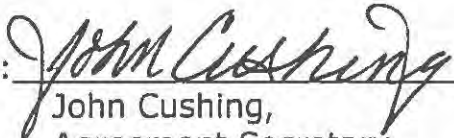
While port congestion does occur from time to time, it is not a chronic problem and not a substantial one at this time. Accordingly, it is not necessary to pursue a rulemaking on the issue of demurrage and detention in the context of port congestion because adequate remedies exist to deal with such issues when the convergence of unique circumstances results in congestion.

Conclusion

For the reasons set forth above, the Petition should be denied.

Respectfully submitted,

WEST COAST MTO AGREEMENT

By: 
John Cushing,
Agreement Secretary

February 27, 2017